

2.5 Making human resource decisions

Paper 2 / Theme 2 · Edexcel GCSE Business 1BS0

Past-paper question bank for this topic

- **Total questions:** 36
- **Total marks:** 112
- **Sub-topics covered:** 4

By series:

- **Specimen SAMs:** 6 questions
- **June 2019:** 6 questions
- **Nov 2020:** 6 questions
- **Nov 2021:** 4 questions
- **June 2022:** 3 questions
- **June 2023:** 5 questions
- **June 2024:** 6 questions

2.5.1 Organisational structures (12 questions)

Specimen SAMs · Paper 2 · Q2(d) · §A

Explain

3 marks

Explain one impact of excessive communication within a business.

▼ Mark scheme

Award 1 mark for identification of an impact, plus 2 further marks for explaining this impact up to a total of 3 marks. Productivity will fall (1) because workers would not be sure about which information to use (1), therefore more mistakes will be made, which reduces output (1). More workers will leave the business (1) because the excessive communication will demotivate them (1) resulting in the business having to incur the cost of employing new workers (1). Accept any other appropriate response. Answers that list more than one impact with no explanation will be awarded a maximum of 1 mark.

Discuss the likely benefit to a business of having a decentralised organisational structure.

▼ Mark scheme

Indicative content: Decisions can be made faster (AO1b). Lower fixed costs (AO1b). This means that the business can respond to opportunities in the market before competitors do (AO3a). The business will no longer require a large head office because decisions are made in individual branches (AO3a). Level 1 (1-2): Demonstrates elements of knowledge and understanding of business concepts and issues, with limited business terminology used (AO1b). Attempts to deconstruct business information and/or issues, finding limited connections between points (AO3a). Level 2 (3-4): Demonstrates mostly accurate knowledge and understanding... Level 3 (5-6): Demonstrates accurate knowledge and understanding of business concepts and issues throughout, including appropriate use of business terminology (AO1b). Deconstructs business information and/or issues, finding detailed interconnected points with logical chains of reasoning (AO3a).

Explain one possible barrier to effective communication within a business.

▼ Mark scheme

Award 1 mark for identification of a barrier, plus 2 further marks for explaining this barrier up to a total of 3 marks. Using technical language or jargon (1). This may confuse employees (1). As a result, employees may not carry out a task correctly (1). Having too many layers in the hierarchy (1). This may mean that messages have to pass through too many employees (1). Therefore, it makes it difficult for the business to respond quickly to change (1). Accept any other appropriate response. Answers that list more than one barrier with no explanation will be awarded a maximum of 1 mark.

Which one of the following is a type of organisational structure?

- A. Freelance
- B. Hierarchical
- C. Permanent
- D. Temporary

▼ Mark scheme

The only correct answer is B - Hierarchical. A is not correct because 'freelance' is not a type of organisational structure. C is not correct because 'permanent' is not a type of organisational structure. D is not correct because 'temporary' is not a type of organisational structure.

Explain one impact on a business from a lack of communication.

▼ Mark scheme

Award 1 mark for identification of an impact, plus 2 further marks for explaining this impact up to a total of 3 marks. Employees will be unsure of what they have to do (1). As a result, they may start to make mistakes (1). Therefore, the quality of the good or service may fall (1). Employees may lack the information they need to do their job properly (1). Therefore, employee motivation may fall (1). Thus, employees may decide to leave the business causing staff shortages (1). Accept any other appropriate response. Answers that list more than one impact with no explanation will be awarded a maximum of 1 mark.

State one job role that may be found in a fast food outlet such as KFC.

▼ Mark scheme

Award 1 mark for stating one job role that may be found in a fast food outlet such as KFC. Restaurant manager (1). Food preparation shift leader/team leader (1). Drive-thru serving staff (1). Accept any other appropriate response. Do not accept job roles that would not be appropriate to a fast food outlet such as KFC, for example shelf stackers.

Figure 1 shows the organisational structure of a business. Figure 1: Manager at top, with five Employees boxes underneath connected directly to the Manager.

Which one of the following organisational structures is shown in Figure 1?

- A. Decentralised
- B. Flat
- C. Hierarchical
- D. Remote

▼ Mark scheme

B - Flat

Nov 2021 · Paper 2 · Q3(d) · \$A

Explain

3 marks

Explain one impact on a business from reducing the size of its workforce.

▼ Mark scheme

Award 1 mark for identification of an impact, plus 2 further marks for explaining this impact up to a total of 3 marks.

The labour costs of the business may fall (1). This is because the business will not have to pay as many wages/salaries to workers (1). Thus, the break-even point of the business will fall (1).

The motivation of the remaining staff may fall (1). This is because they may be worried about losing their jobs (1). Therefore, the business may experience a decrease in productivity (1).

Accept any other appropriate response. Answers that list more than one impact with no explanation will be awarded a maximum of 1 mark.

June 2022 · Paper 2 · Q1(b) · \$A

MCQ

1 marks

Which one of the following is a barrier to effective communication?

- A. New information
- B. New machinery
- C. Jargon
- D. Job description

▼ Mark scheme

The only correct answer is C – Jargon. A is not correct because this is not a barrier to effective communication. B is not correct because this is not a barrier to effective communication. D is not correct because this is not a barrier to effective communication.

June 2023 · Paper 2 · Q2(e) · \$A

Explain

3 marks

Explain one reason why a business may decide to reduce the size of its workforce.

▼ Mark scheme

Award 1 mark for identification of a reason, plus 2 further marks for explaining this reason up to a total of 3 marks. The business may be suffering from a fall in demand for its products (1). As a result, it may not have enough cash inflows to be able to pay its employees. (1). Therefore, the business may have to reduce its workforce to prevent failure (1). New technology may mean that an employee can be replaced by a machine (1). This is because a machine can produce items much faster than an employee (1). As a result, the productivity of the business may increase by reducing the workforce (1). Accept any other appropriate response. Answers that list more than one reason with no explanation will be awarded a maximum of 1 mark.

Explain one disadvantage to a business of having a flat organisational structure.

▼ Mark scheme

Award 1 mark for identification of a disadvantage, plus 2 further marks for explaining this disadvantage up to a total of 3 marks. One manager may be responsible for many sub-ordinates (1). As a result, they have too much work to do (1). Therefore, costly mistakes may be made (1). Employees may not have self-discipline (1). Therefore, they may exploit the lack of supervision (1). Therefore, productivity may fall (1). Accept any other appropriate disadvantage. Answers that list more than one disadvantage with no explanation will be awarded a maximum of 1 mark.

Outline one likely responsibility for a manager of a Cineworld cinema.

▼ Mark scheme

Award up to 2 marks for linked points outlining likely responsibility for a manager of a Cineworld cinema. Award a maximum of 1 mark if points are not linked. The manager may have to lead teams of ice cream and ticket salespeople (1). This may ensure that they do their job properly (1). The manager may have to decide which films go on which screens (1). This may allow popular movies to be shown in auditoriums with more seats (1). Award any other valid answer. To award 2 marks there must linked development and evidence of application.

2.5.2 Effective recruitment (9 questions)

Which two of the following documents would be used by a business as part of its recruitment process?

- A. Person plan
- B. Job specification
- C. Person specification
- D. Job description
- E. Job plan

▼ Mark scheme

C, D

Which two of the following are likely to be sent to a business by a person applying for a job?

- A. Application form
- B. CV
- C. Job advert
- D. Job description
- E. Person specification

▼ Mark scheme

A - Application form; B - CV (2)

Explain one benefit to a business of using external recruitment to employ new staff.

▼ Mark scheme

Award 1 mark for identification of a benefit, plus 2 further marks for explaining this benefit up to a total of 3 marks. Employees from outside the business will bring new ideas to the business (1). Therefore, the workforce may become more productive (1). As a result, the average total cost of producing products may fall (1). External employees will have a different way of thinking to employees who already work for the business (1). As a result, creativity may improve (1). Thus, the business may be able to find new ways of gaining a competitive advantage (1). Accept any other appropriate response. Answers that list more than one benefit with no explanation will be awarded a maximum of 1 mark.

*In order to recruit employees for its new 'The Food Warehouse' stores, Iceland is considering two options:
Option 1: offer permanent contracts. Option 2: offer temporary contracts.*

Justify which one of these two options Iceland should choose.

▼ **Mark scheme**

Indicative content: By offering permanent contracts, The Food Warehouse employees will feel reassured since the business is new and untested (AO2). By giving employees temporary contracts, Iceland gives itself a lot more flexibility since the new grocery concept may not be a success (AO2). This may increase the motivation and loyalty of the new employees, which may lead to better productivity and customer service. This may make The Food Warehouse appeal to high-income food shoppers (AO3a). Therefore, it has the ability not to renew contracts for employees if demand for the new concept ends up being lower than expected and it has to close stores (AO3a). However, The Food Warehouse is an untried concept and it may prove to be unsuccessful. This may result in permanent employees being under-used if the stores do not attract as many customers as hoped. Therefore, employing staff on permanent contracts could cause Iceland to incur unnecessarily high wage costs (AO3b). However, some employees may not like the lack of certainty provided by temporary contracts. Therefore, the most productive employees may prefer to work for Tesco, which could be offering permanent contracts. As a result, Iceland may end up employing demotivated employees with low productivity who could damage its ability to attract high-income consumers since customer service may not be as high (AO3b). Level 1 (1-3): Limited application of knowledge and understanding of business concepts and issues to the business context (AO2). Attempts to deconstruct business information and/or issues, finding limited connections between points (AO3a). Makes a judgement, providing a simple justification based on limited evaluation of business information and issues relevant to the choice made (AO3b). Level 2 (4-6): Sound application of knowledge and understanding of business concepts and issues to the business context although there may be some inconsistencies (AO2). Deconstructs business information and/or issues, finding interconnected points with chains of reasoning, although there may be some logical inconsistencies (AO3a). Makes a judgement, providing a justification based on sound evaluation of business information and issues relevant to the choice made (AO3b). Level 3 (7-9): Detailed application of knowledge and understanding of business concepts and issues to the business context throughout (AO2). Deconstructs business information and/or issues, finding detailed interconnected points with logical chains of reasoning (AO3a). Makes a judgement, providing a clear justification based on a thorough evaluation of business information and issues relevant to the choice made (AO3b).

Which one of the following documents states the qualities an employer is looking for in a new employee?

- A. Application form
- B. CV
- C. Job description
- D. Person specification

▼ **Mark scheme**

D - Person specification

Explain one benefit to a business of allowing its employees to work flexible hours.

▼ Mark scheme

Award 1 mark for identification of a benefit, plus 2 further marks for explaining this benefit up to a total of 3 marks. This may make the business a more desirable place to work (1) because workers will now be able to fit work in around other commitments such as childcare (1). Therefore, the business may be able to attract better quality employees (1). This may allow the business to increase its efficiency (1). This is because workers may be more motivated to work for an employer that provides this level of flexibility (1). Thus, the business could find that total variable costs decrease (1). Accept any other appropriate response. Answers that list more than one benefit with no explanation will be awarded a maximum of 1 mark.

Which two of the following are documents produced by a business at the start of the recruitment process? Select two answers.

- A. Application form
- B. Curriculum vitae (CV)
- C. Job autonomy
- D. Letter of application
- E. Person specification

▼ Mark scheme

The only correct answers are A – Application form and E – Person specification. B is not correct because it would be produced by an applicant. C is not correct because it is not a document used in the recruitment process. D is not correct because it would be produced by an applicant.

Which two of the following documents would be sent to a business by a person when applying for a job?

- A. Application form
- B. Curriculum vitae (CV)
- C. Job description
- D. Performance review
- E. Person specification

▼ Mark scheme

The only correct answers are A – Application form and B – Curriculum vitae (CV). C is not correct because this would be produced by a business not a job applicant. D is not correct because this is not linked to the recruitment process. E is not correct because this would be produced by the business not a job applicant.

In order to help increase the profit made by the Stratford branch of Popeyes, the manager is considering the following two options: Option 1: employ workers on flexible hours. Option 2: employ workers full-time.

Justify which one of these two options Popeyes should choose.

▼ Mark scheme

Indicative content: This gives managers at Popeyes the ability to minimise costs since they only need to pay chefs and servers a wage during busy times such as lunch and can send them home later in the afternoon when it is quiet (AO2). This provides Popeyes employees with a set amount of income that they would earn each week making it easier to attract staff to the fast-food restaurants (AO2). Therefore, the cost of preparing and making chicken will fall, since Popeyes will be able to match the number of workers to the times when it is busy or quiet in the restaurant. As a result, the profit made by each restaurant may increase (AO3a). This may allow Popeyes to be able to cope with periods of high demand. Thus, each restaurant may have reduced wait times and a more professional service. This may encourage repeat custom, allowing profits to rise (AO3a). However, trained workers like chefs may resent only working for part of the day and may choose to work for other fast-food restaurants that offer more security regarding pay and conditions. Therefore, Popeyes may struggle to recruit enough high-quality staff for its restaurants. This may increase wait times and reduce revenues and profit (AO3b). However, the impact on profit will depend on whether the extra costs of employing workers full-time is offset by the improved competitiveness of the restaurant, and it may lead to higher prices compared to rivals in a competitive fast-food market (AO3b). Level 1 (1-3): Limited application, simple justification. Level 2 (4-6): Sound application, justification based on sound evaluation. Level 3 (7-9): Detailed application throughout, clear justification based on thorough evaluation.

2.5.3 Effective training and development (3 questions)

Explain one advantage to a business of providing ongoing training to its employees.

▼ Mark scheme

Award 1 mark for identification of an advantage, plus 2 further marks for explaining this advantage up to a total of 3 marks. Ongoing training will make employees feel valued (1), which will result in workers working harder (1), therefore making the business more productive (1). Ongoing training will result in employees being able to work faster (1), which will result in higher productivity levels (1), therefore reducing the unit cost of making an item (1). Accept any other appropriate response. Answers that list more than one advantage with no explanation will be awarded a maximum of 1 mark.

Which two of the following are likely to increase the productivity of a business?

- A. Excessive communication
- B. Pressure groups
- C. Retraining employees
- D. Increased product range
- E. Introducing new technology

▼ Mark scheme

C - Retraining employees; E - Introducing new technology (2)

Explain one reason why a business might use performance reviews with its employees.

▼ Mark scheme

Award 1 mark for identification of a reason, plus 2 further marks for explaining this reason up to a total of 3 marks. It may provide the employee with the opportunity to give feedback to their line manager (1). Therefore, the business may be able to solve problems that frustrate the employee (1). As a result, the employee may feel more valued by the business (1). Managers will discuss whether the employee has met their targets (1). As a result, the employee is more likely to be focused on their job (1). Thus, the employee is more likely to be productive (1). Accept any other appropriate response. Answers that list more than one reason with no explanation will be awarded a maximum of 1 mark.

2.5.4 Motivation (12 questions)

Explain one reason why a business may decide to pay its workers a bonus.

▼ Mark scheme

Award 1 mark for identification of a reason, plus 2 further marks for explaining this reason up to a total of 3 marks. The bonus will motivate workers (1) because they feel more valued by the business (1), therefore workers will work harder (1). The bonus will help attract the best workers (1). Therefore, the business will become more productive (1). This will result in lower unit costs (1). Accept any other appropriate response. Answers that list more than one reason with no explanation will be awarded a maximum of 1 mark.

Explain one drawback to a business of not being able to retain its employees.

▼ **Mark scheme**

Award 1 mark for identification of a drawback, plus 2 further marks for explaining this drawback up to a total of 3 marks. It will have to employ new workers (1) and therefore will have to spend money on recruitment (1). This increases the costs of the business (1). It could lose its most productive workers (1), therefore the business will become less efficient (1). As a result, the unit cost will increase (1). Accept any other appropriate response. Answers that list more than one drawback with no explanation will be awarded a maximum of 1 mark.

Discuss the impact on a business of giving employees permanent contracts.

▼ **Mark scheme**

Indicative content: Workers employed on permanent contracts are more likely to feel secure in their job (AO1b). Workers employed on permanent contracts are less likely to leave the business (AO1b). Therefore, motivation may be higher, which may increase the productivity of the business. This will reduce the cost per unit (AO3a). Therefore, the business may save money on recruiting and training new workers. This may allow money to be spent in other areas of the business to improve competitiveness (AO3a). Level 1 (1-2 marks): Demonstrates elements of knowledge and understanding of business concepts and issues, with limited business terminology used (AO1b). Attempts to deconstruct business information and/or issues, finding limited connections between points (AO3a). Level 2 (3-4 marks): Demonstrates mostly accurate knowledge and understanding of business concepts and issues, including appropriate use of business terminology in places (AO1b). Deconstructs business information and/or issues, finding interconnected points with chains of reasoning, although there may be some logical inconsistencies (AO3a). Level 3 (5-6 marks): Demonstrates accurate knowledge and understanding of business concepts and issues throughout, including appropriate use of business terminology (AO1b). Deconstructs business information and/or issues, finding detailed interconnected points with logical chains of reasoning (AO3a).

Mind Candy case study (reduced workforce of software developers after 2013 losses).

Analyse the impact on Mind Candy of reducing the size of its workforce.

▼ **Mark scheme**

Indicative content: This may make software developers that are still working for Mind Candy worried about keeping their jobs (AO2). This may reduce Mind Candy's fixed costs since they no longer have to pay web designers a salary (AO2). As a result, motivation of the remaining staff may fall. This could cause the quality of the apps and games produced to go down, reducing Mind Candy's competitive advantage (AO3a). This may reduce cash outflows, which may reduce the likelihood of business failure since the cash saved could be used to meet existing cash outflows (AO3a). Level 1 (1-2 marks): Limited application of knowledge and understanding of business concepts and issues to the business context (AO2). Attempts to deconstruct business information and/or issues, finding limited connections between points (AO3a). Level 2 (3-4 marks): Sound application of knowledge and understanding of business concepts and issues to the business context although there may be some inconsistencies (AO2). Deconstructs business information and/or issues, finding interconnected points with chains of reasoning, although there may be some logical inconsistencies (AO3a). Level 3 (5-6 marks): Detailed application of knowledge and understanding of business concepts and issues to the business context throughout (AO2). Deconstructs business information and/or issues, finding detailed interconnected points with logical chains of reasoning (AO3a).

Sainsbury's case study. In order to improve the motivation of its shop floor employees, Sainsbury's is considering two options: Option 1: retraining; Option 2: increase wages.

Justify which one of these two options Sainsbury's should choose.

▼ **Mark scheme**

Indicative content: Supermarket employees may gain more opportunities through being retrained. This may give them the option to work in other areas of the business such as unloading food or to use new technology such as automated checkouts (AO2). Increasing wages by 4.4% may close the gap between the pay at Sainsbury's and other supermarkets such as Aldi to only 53p per hour (AO2). This may make the job more interesting since it may give shop floor employees the ability to work in different parts of a Sainsbury's supermarket or allow them to develop new skills (AO3a). This may improve motivation because working in a supermarket is relatively low paid. The increase in pay may allow workers to buy more necessities and satisfy their basic needs (AO3a). However, retraining is more likely to benefit Sainsbury's than the employee. This is because the other jobs they may be trained to do within a supermarket may be at the same overall level of skill. Therefore, this may not result in increased motivation (AO3b). However, the wage increase still only gives employees £8 per hour and their wage is still lower than that of equivalent workers at other supermarkets. As a result, motivation may not increase and it is likely that, if anything, the increase in wages simply prevents demotivation (AO3b). Level 1 (1-3 marks): Limited application of knowledge and understanding of business concepts and issues to the business context (AO2). Attempts to deconstruct business information and/or issues, finding limited connections between points (AO3a). Makes a judgement, providing a simple justification based on limited evaluation of business information and issues relevant to the choice made (AO3b). Level 2 (4-6 marks): Sound application of knowledge and understanding of business concepts and issues to the business context although there may be some inconsistencies (AO2). Deconstructs business information and/or issues, finding interconnected points with chains of reasoning, although there may be some logical inconsistencies (AO3a). Makes a judgement, providing a justification based on sound evaluation of business information and issues relevant to the choice made (AO3b). Level 3 (7-9 marks): Detailed application of knowledge and understanding of business concepts and issues to the business context throughout (AO2). Deconstructs business information and/or issues, finding detailed interconnected points with logical chains of reasoning (AO3a). Makes a judgement, providing a clear justification based on a thorough evaluation of business information and issues relevant to the choice made (AO3b).

Which one of the following is a non-financial method of motivating an employee?

- A. Bonus
- B. Commission
- C. Job rotation
- D. Remuneration

▼ **Mark scheme**

The only correct answer is C - Job rotation. A is not correct because a 'bonus' is a financial method. B is not correct because 'commission' is a financial method. D is not correct because 'remuneration' is a financial method.

Nov 2021 · Paper 2 · Q2(b) · §A

MCQ

2 marks

Which two of the following would allow a business to improve employee retention?

- A. Decreased remuneration
- B. Excessive communication
- C. Introducing job rotation
- D. Providing training
- E. Reduced employee autonomy

▼ Mark scheme

C - Introducing job rotation; D - Providing training

June 2022 · Paper 2 · Q2(d) · §A

Explain

3 marks

Explain one advantage to a business of having motivated employees.

▼ Mark scheme

Award 1 mark for identification of an advantage, plus 2 further marks for explaining this advantage up to a total of 3 marks. Employees will enjoy working in the business (1). Therefore, they may be less likely to leave the business (1). As a result, the business will not have to incur the costs of recruiting new staff (1). This should increase the productivity of the employees (1). Therefore, the cost of producing each product should fall (1). As a result, the profit margin on each product should rise (1). Accept any other appropriate response. Answers that list more than one advantage with no explanation will be awarded a maximum of 1 mark.

June 2023 · Paper 2 · Q3(a) · §A

MCQ

1 marks

Which one of the following is a fringe benefit? Select one answer.

- A. Company car
- B. Job enrichment
- C. Salary
- D. Wages

▼ Mark scheme

The only correct answer is A – Company car. B is not correct because it is not a fringe benefit. C is not correct because it is not a fringe benefit. D is not correct because it is not a fringe benefit.

Explain one impact on a business of introducing job rotation.

▼ Mark scheme

Award 1 mark for identification of an impact, plus 2 further marks for explaining this impact up to a total of 3 marks. The workforce may become more flexible (1). This is because employees will now be trained in different jobs (1). Therefore, if employees are absent, production does not have to stop (1). Employee motivation may increase (1). This is because job rotation makes their work more interesting (1). Therefore, the business may experience an increase in productivity (1). Accept any other appropriate response. Answers that list more than one impact with no explanation will be awarded a maximum of 1 mark.

Explain one disadvantage to a business of using remote working.

▼ Mark scheme

Award 1 mark for identification of a disadvantage, plus 2 further marks for explaining this disadvantage up to a total of 3 marks. It can create communication difficulties (1). This is because teams of people are not in a physical office environment at the same time (1). Therefore, the business may experience a decrease in employee motivation (1). Purchasing computer equipment and broadband access for employees may be expensive (1). This may increase the costs for a business (1). This may then lead to a fall in profit (1). Accept any other appropriate response. Answers that list more than one disadvantage with no explanation will be awarded a maximum of 1 mark.

Cineworld plc is the UK's largest cinema chain. It owns 127 multi-screen cinemas in a variety of city centre and out of town locations. Several sites have 4DX screens, which have seats that move 'in sync' with what is happening in the movie. In 2019, Cineworld had accumulated £2.3 billion of debt due to rapid external growth. Due to the global health crisis in 2020, the government forced a shut-down of all cinemas. Since re-opening in 2021, ticket sales at Cineworld cinemas have been low. The blockbuster movies that normally attract people to the cinema, such as 'Spider-Man: No Way Home', have been lacking in number and quality. Home streaming services, such as Apple TV and Netflix, have made visiting the cinema less attractive. These factors led to Cineworld making a £537 million loss in 2022, leaving the company close to failure. The Cineworld share price has fallen from over £3 in 2019 to less than 2p in 2023. The company needs cash to cover its loan repayments. Rival cinema companies, such as Vue, have encountered similar problems and have reduced the price of a ticket to £6.99 to attract people back to watching movies at the cinema. However, Cineworld has so far refused to do this. It still charges £18.69 for its most expensive tickets.

Give one non-financial method to motivate employees in a business.

▼ Mark scheme

Award one mark for giving one non-financial method to motivate employees in a business. Job rotation (1). Job enrichment (1). Autonomy (1). Award 1 mark for any non-financial method that is reasonable. Do not award a mark for increased wages/salaries/remuneration, commission, fringe benefits and promotion.